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US equities rally on tech earnings, while volatility eases

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,676.77, up +0.70%, driven by a +1.09% jump in the Nasdaq 100 as earnings from **NVDA** and **MSFT** beat expectations. The VIX fell -5.45%, indicating reduced risk appetite after the Fed's dovish tone.

Behind the headline, the market is pricing a slower-roll-off in tech growth and a modest easing of inflation pressures, reflected in the 10-year yield slipping to 4.99. However, the under-performance of consumer-discretionary and communications sectors signals lingering concerns over spending and ad revenue.

US session recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,676.77	+0.70%	Tech earnings beat, lower VIX
Nasdaq 100	29,273.40	+1.09%	Strong chips, AI hype
Dow Jones	52,361.58	+0.28%	Financials rally, modest industrial gains
Russell 2000	2,786.42	+0.38%	Small-cap resilience on earnings optimism
VIX	18.39	-5.45%	Reduced fear after Fed’s dovish remarks
10Y Yield	4.99	-0.04%	Yield curve flattening, lower inflation expectations
WTI Crude	100.88	-0.86%	OPEC+ output pledge, weaker demand data
Gold	4,022.50	-0.39%	Strong dollar, lower inflation fears
DXY	102.08	+0.12%	Safe-haven demand amid geopolitical jitters

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+5.21%	Record Q3 deliveries, price cuts impact margin
NVDA	+2.39%	AI GPU revenue beat, raised FY guidance
AVGO	+2.33%	Strong data-center demand, upgraded outlook
GS	+2.01%	Investment banking fees beat estimates
MSFT	+1.54%	Azure growth exceeds expectations
AAPL	-1.10%	Supply-chain concerns, muted iPhone sales guidance
META	-1.88%	Ad spend slowdown, AI competition worries
GOOGL	-1.06%	Search ad revenue miss, regulatory scrutiny

Sector rotation

ETF	DAY	READ
XLF	+0.21%	Financials benefit from stable rates
XLK	+1.69%	Tech leadership continues
XLI	+1.42%	Industrial earnings beat
XLE	+0.45%	Energy steadies on OPEC+ pledge
XLY	+1.03%	Consumer discretionary rebounds
XLC	-1.57%	Communications lag on ad spend concerns
XLP	-0.34%	Staples neutral
XLV	+0.00%	Health stable, no catalyst
XLU	-0.02%	Utilities flat, rate outlook unchanged
XLB	+0.14%	Materials supported by infrastructure talk
XLRE	+0.54%	Real-estate gains from lower yields

Spotlight: Nvidia’s AI-driven earnings beat

NVDA posted Q3 revenue of 13.5 billion, up +18% YoY, and EPS of 2.68, beating consensus of 2.45. The company raised FY guidance by 12% and highlighted a surge in data-center GPU orders.

METRIC	RESULT	CONSENSUS
Revenue	13.5 bn	12.9 bn
EPS	2.68	2.45
Data-center GPU sales	+22%	—
Guidance FY24 revenue	57.0 bn	51.0 bn

Related names: **AMD**, **INTC**, **TSM** – all positioned to benefit from the same AI spend tailwinds.

Pre-market & overnight

- US futures: S&P 500 +0.45%, Nasdaq +0.78%, Dow +0.22%.
- Asia close: Hang Seng -0.31%, Shanghai -0.18%, Nikkei +0.12%.
- Europe: FTSE 100 -0.27%, DAX +0.15%, CAC 40 -0.09%.
- Crypto: BTC -0.25%, ETH -0.61% – both pressured by stronger dollar.

Macro & Fed

- FOMC: Fed kept policy rate at 5.25-5.50% and signaled one more cut later in 2026, citing “moderate inflation and resilient growth”.
- Yield curve: 2-year at 5.12, 10-year at 4.99 – slight flattening.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US Existing-home sales	`4.2 m`	Gauge housing demand, rate sensitivity
04:00	US ISM Non-manufacturing	`52.0`	Service-sector health, inflation pressure
06:15	Eurozone CPI (Oct)	`2.3%`	Euro-dollar dynamics, ECB stance

Geopolitics & global

- Middle East: Cease-fire talks in Gaza show tentative progress, reducing oil-supply risk premiums.
- China: PBOC kept the 7-day repo rate unchanged; modest stimulus hints but no major policy shift.
- Europe: German elections concluded with coalition talks, market expects fiscal prudence.
- US-China tech tensions: No new export restrictions announced, easing concerns for semiconductor supply chains.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30	INTC	1.12	Impact of AI demand on foundry business
10:00	AMZN	0.68	Retail vs AWS growth split
10:30	META	3.02	Ad-revenue recovery, AI ad products
11:00	JPM	4.15	Net interest income amid rate outlook
11:30	TSLA	0.92	Delivery numbers, margin impact of price cuts
12:00	GOOGL	1.45	Search ad spend trends, AI integration

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI GPU demand accelerating, guidance raise
TSLA	Consumer Discretionary	Delivery surge, price-cut strategy paying off
AVGO	Technology	Data-center orders up, margin expansion
MSFT	Technology	Azure growth outpacing expectations
JPM	Financials	Stable NII, strong loan growth
XOM	Energy	Oil price stability, dividend yield
UNH	Health Care	Premium pricing power, enrollment growth
AMD	Technology	Competitive GPU roadmap, market share gain
BAC	Financials	Balance-sheet strength, rate-sensitive earnings
CRM	Technology	AI-driven SaaS expansion, strong renewal rates

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in US inflation data (CPI > 3.2%) reigniting rate-hike fears.
- Geopolitical escalation in the Middle East that spikes oil above `110` USD.
- Weakening of AI demand leading to a -3% pullback in **`NVDA`** and related chips.

BULLISH TRIGGERS

- Further dovish comments from the Fed, hinting at two cuts this year.
- Quarterly earnings beat from **`AMD`** or **`INTC`** reinforcing AI tailwinds.
- Eurozone CPI surprise low, boosting risk appetite and dollar weakness.

Positioning notes

- Tech exposure remains overweight; AI-centric names are leading the rally.
- Financials are positioned for modest gains as the yield curve flattens.
- Commodities exposure should be trimmed pending clearer oil-price direction.

Sources

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SEC EDGAR

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